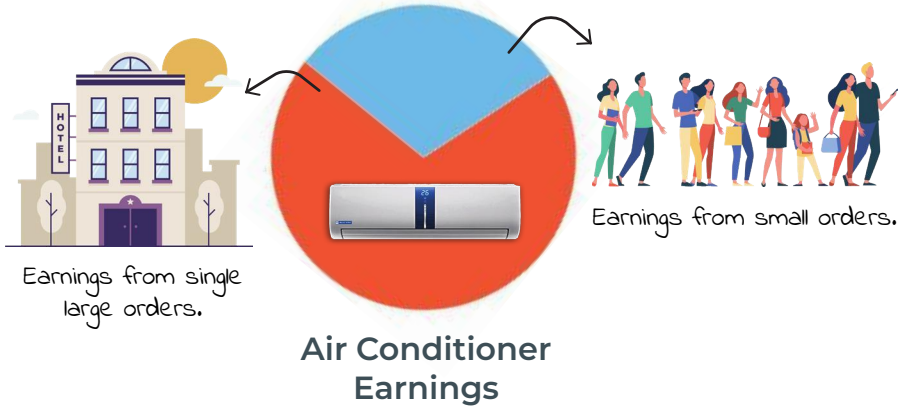


Size of Buyers/Orders

(Several small orders/A few medium-sized/Single very large order)

The size and frequency of orders by buyers are important factors influencing the buyer's bargaining power.



- If there are several small orders placed by the buyers, **the industry's dependence on any single order decreases**, thus decreasing the buyer's bargaining power.
- When buyers place a few medium-sized orders or a single very large order, **each order becomes critical for the industry and the industry players cannot lose orders in negotiations.**

This reduces the industry's bargaining power and the buyers are successfully able to pressurize the industry to reduce prices, thus impacting industry profitability.

How Informed are the Buyers?

(Very informed/Moderately informed/Uninformed/Ignorant)

In this age of information, any information regarding any purchase decision that needs to be made is very readily informed by the industry. Most buyers today do their research before they go out to make a purchase. In the process, they figure out all the various options that they have—prices of the products, value propositions they are offered, etc.